Strategic Proposal: Next-Generation Sustainable Lending Framework

Evidence from the Sustainable Infrastructure Bond Tracker (October 2021 – October 2026)

21 October 2026

Audience: Executive Committee / Credit & Sustainability Committee **Classification:** Internal **Decision requested:** Approve the framework design (Section 3) and the 0–6 month quick wins (Section 4).

1. Executive summary

- **The market funds bank portfolios, not just projects.** Of 43 labelled corporate bonds tracked across 12 African and Indian Ocean markets (about USD 3,174m), banks issued 61% of the volume, mostly to refinance eligible green and social loan books. A well-governed lending framework is therefore the precondition for the Bank's own access to labelled funding.
- **Pricing is set by currency and tenor, not the label.** Fixed coupons ranged from 5.5% to 13.5%, depending on the local sovereign curve. On the JSE, spreads widen by about 11 bps per year of tenor. The framework should not promise borrowers a "green discount" that the funding market does not provide.
- **The gaps are commercially open.** Water infrastructure (1 deal), climate adaptation and sustainability-linked structures (5% of deals) are under-served. Mauritius has a functioning listed green market (4 deals since October 2023) but no social or sustainability-linked issuance yet.
- **Recommendation:** adopt a three-pillar Sustainable Lending Framework: (i) an eligibility taxonomy aligned to ICMA/LMA principles, (ii) a product menu combining use-of-proceeds and KPI-linked loans, and (iii) committee-level governance with segregation of duties and annual allocation and impact reporting. Size the book for an inaugural labelled bond on the SEM.

2. What the evidence shows

Finding	Implication for the Bank
Banks issued 61% of labelled volume; multi-sector bank bonds are the largest use-of-proceeds category	Build the eligible loan book first; the bond follows. Loan-level tagging is the critical capability
JSE is the deepest hub (49% of volume, all four labels, transparent FRN pricing)	Use JSE spreads as the regional reference curve for rand and dual-currency structures
Fixed coupons of 5.5–13.5% follow local rates (TZS/KES 10–13.5%; XOF 6–8.75%; USD 5.5%)	Price off the sovereign curve plus credit spread; treat label economics as a small adjustment
Long tenors (10–15 years) only appear with contracted cash flows (water utility, solar IPP, mortgage refinancing)	Offer 10–15 year infrastructure tenors only with offtake, tariff or DFI guarantee support
DFIs anchor landmark deals (IFC, EBRD, BII in Egypt, Morocco and South Africa)	Co-lending and partial guarantees are the fastest route to tenor and volume
Pricing disclosed for only 56% of deals	Transparent reporting is a differentiator with investors and regulators

3. Proposed framework design

3.1 Eligibility taxonomy (use of proceeds)

Category	Eligible activities (illustrative)	Example KPI / impact metric	Priority
Clean energy	Solar, wind and storage; embedded C&I generation; grid connection	MW installed; tCO2e avoided	Core
Green buildings	New-build or retrofit with recognised certification (e.g. EDGE, LEED, Green Star)	kWh/m² saving; certification level	Core
Water & sanitation	Treatment, distribution, non-revenue water reduction, desalination, rainwater harvesting	m³/day capacity; NRW %	**Growth (gap)**
Climate adaptation	Coastal and flood defence, drought-resilient agriculture, cyclone-resilient structures	Assets protected; resilience rating	**Growth (gap)**
Clean transport	Electric fleet, mass transit,	Vehicles; tCO2e avoided	Opportunistic

Category	Eligible activities (illustrative)	Example KPI / impact metric	Priority
	charging infrastructure		
Affordable housing	Mortgages and developer finance under defined income thresholds	Households financed; % women borrowers	Core (social)
MSME & inclusion	Women- and youth-led SMEs; underserved segments	Loans and value disbursed; jobs supported	Core (social)

Exclusions follow the Bank's existing exclusion list, plus fossil-fuel generation, so the framework cannot be used for transition-washing.

3.2 Product menu

1. **Green / social loans** (use of proceeds, aligned to the LMA Green Loan and Social Loan Principles): ring-fenced, tagged at origination, and eligible for the future bond pool.
2. **Sustainability-linked loans** (aligned to the LMA Sustainability-Linked Loan Principles): general-purpose corporate facilities with a two-way margin ratchet tied to 1–3 material, externally verified KPIs. The ratchet size is to be calibrated by Credit and Treasury against the funding curve.
3. **Infrastructure term facilities** (10–15 years): only with contracted revenue and a DFI partial guarantee or co-lending, following the Tanga UWASA, CEC and Poro Power precedents.
4. **Labelled funding:** once the tagged book reaches a size comparable with regional deals (median deal in the register is USD 55m), issue an inaugural green or sustainability bond on the SEM, using the existing FSC green bond guidelines.

3.3 Pricing principles

- Base rate = sovereign curve for the loan currency + client credit spread + tenor premium. JSE evidence suggests about 11 bps per year as a reference slope.
- A label-linked concession is permitted only where it is matched by a funding benefit (DFI line, labelled bond, guarantee) and documented in the credit paper.
- SLL ratchets must be symmetrical (penalty and reward) to remain defensible.

3.4 Governance and controls

Control	Design
Oversight	Sustainable Finance Committee (CRO, CFO, Head of Corporate, Head of Sustainability) reporting to the Board Risk Committee
Segregation of duties	Relationship managers originate; an independent Sustainability/Risk unit confirms eligibility; Finance controls the allocation register
External assurance	Second-party opinion on the framework; annual limited assurance on allocation and impact
Regulatory alignment	Bank of Mauritius Guideline on Climate-related and Environmental Financial Risk Management (April 2022); FSC Guidelines for Issue of Corporate and Green Bonds; ICMA GBP/SBP/SBG/SLBP
Reporting	Annual allocation and impact report; register published with the bond
Audit trail	Loan-level tag, evidence pack and approval stored in the core banking and credit systems

4. Implementation roadmap

Horizon	Quick wins (0–6 months)	Strategic wins (6–24 months)
Policy	Approve taxonomy and exclusion list; board-approved framework	Commission SPO; publish framework
Data	Add a sustainability tag and KPI fields to loan origination	Automated allocation register and impact dashboard
Products	Launch green/social loan variants of existing products	SLL product for top corporate clients; water and adaptation infrastructure desk
Partnerships	Open discussions with DFIs on risk-sharing lines	Co-lending or guarantee programme for 10–15 year infrastructure tenors
Funding	Baseline the eligible legacy book	Inaugural labelled bond on the SEM

5. Risks, assumptions and open items

- **Greenwashing and mis-labelling risk:** mitigated by independent eligibility sign-off, SPO and annual assurance.
- **KPI materiality (SLLs):** weak KPIs undermine credibility. KPIs need committee approval and third-party verification.

- **FX and tenor mismatch:** long-tenor local-currency lending needs matching funding or DFI support.
- **Concentration:** a pipeline weighted to solar and real estate should be monitored against sector limits.
- **Assumptions:** the tracker is a curated sample (43 deals). USD values for some deals use indicative FX, and 44% of deals have no disclosed pricing. Findings are directional, not a market-share statistic.
- **Open items:** confirm the current eligible-book baseline; agree the ratchet calibration with Treasury; confirm with Legal and Compliance any updates to BoM/FSC requirements since the documents cited.

6. Next optimisation step

Run a **matched greenium test**: pair each JSE labelled note with a same-issuer vanilla note priced in the same week to quantify any label premium. Then refresh the tracker quarterly so the pricing assumptions in Section 3.3 stay current.

Sources: Sustainable Infrastructure Bond Tracker register (`data/raw/bonds_raw.csv`, per-bond URLs); Bank of Mauritius, *Guideline on Climate-related and Environmental Financial Risk Management* (01.04.2022), bom.mu; FSC Mauritius, *Guidelines for Issue of Corporate and Green Bonds in Mauritius*, fscmauritius.org; SEM, first green bond listing (Cim Finance, 25 October 2023), stockexchangeofmauritius.com.